The Effectiveness of Sponsored Advertisements On Social-Media Platform in Influencing Consumer Perception

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Abstract

Use of persuasion techniques for advertising is indispensable for organizations if they want to stay ahead and beat their competition.

That's the mantra for all businesses to succeed. It is essential for any business to make profit and earn money for survival purposes. And to earn money any business needs to sell its product to its target audience. The recent age of technology has reduced the gap between the seller and the buyer to a mere click on the ad which appears on the screen, now that screen could be any screen one on one's phones, on one's tablet or even the ones on laptops and personal computers.

Now the question arises as to where does the organisation show their advertisements to convey to the consumer what the product is and what it is all about. The answer is simple: where does the consumer spend most of their free time? Studies show that on an average a person spends 24 hours a week online on the internet. This gives organisations a short span to interact with the consumer and convince them to buy their product.

Digital Marketing experts state that in a day a consumer is exposed to 4,000 to 10,000 advertisements per day. That makes it about 420 advertisements per hour. Now after seeing all these advertisements not all of them make an impact on the consumer and thus not all of them are converted into actual sales.

In today's day and age, the possibility of getting the data in abundance from consumers and this data is information. Such a vast amount of data when it is collected and stored is called Big Data. Now this data which we collected enables us to track the consumers' needs and wants and helps brands or organisations to sell their product by showing advertisements to people who would actually buy the product.

This research project investigates the ways in which marketers advertise brands and products using the consumer's big data, to individualize advertisements for specific target groups, in the online environment specifically on the social networking sites such that it prompts the consumer to remember the advertisement. More specifically, it takes a deep dive into how marketers take the large amounts of data that the consumer leaves on the internet to successfully implement different techniques to help gauge the effectiveness of advertisements.

This research paper tries to analyse the consumers' attitudes toward brands and advertisements within the online environment. Through this research we aim to discover the effectiveness of sponsored forms of advertising and determine how consumers' perception towards the advertisements and the brands vary from each other.

When talking about sponsored advertisements, it does not mean the advertisements a brand is able to post on its page free of cost but instead the advertisements that show up as a pop up on the screen or while browsing shows up in the user's feed. A survey was distributed to test several hypotheses and provide generalizable findings.

Introduction

In this decade, the advertising field has seen some drastic changes due to the rapid growth that social media has undergone. Earlier, traditional media such as the television and radio were the most sought after platforms for advertising and all companies as well as brands designed their marketing strategy in a way that they could incorporate traditional media successfully and derive the max Return on Investment. But this decade saw the emergence of a new platform for marketing " The Social Media" and with it the companies and brands rushed to understand how they could use this new invention to their advantage. As Social Media is the most interactive platform coupled with its ability to reach a large number of people in a matter of minutes, it has now become the go-to platform for all companies and brands for their marketing objectives and more and more budgets have started to be allocated for social media advertisements by companies.

In the beginning, when social media like Facebook had just been made available to the public, all advertisement activities on it were done free of cost which is also known as Organic Marketing

But as social media sites developed and technology progressed, a new type of advertisement strategy using social media emerged called the Paid Social Media Advertising or Sponsored Social Media Advertising.

Social media platforms can be defined as applications or websites that have been designed to provide people with a platform where they can share content quickly, to a vast audience and in real time.

Social Media includes platforms like

- Facebook
- Snapchat
- Twitter
- Instagram
- YouTube

Social Media since its inception has only been growing larger and has successfully widened its reach day by day by introducing interactive and innovative features that allow users to create, share or exchange information, ideas, interests through photos, videos, blogs etc.

Initially the idea behind the creation and emergence of Social Media was to provide a channel or medium through which communication can take place between friends and family. It was started with thought of bringing people closer by allowing them to share ideas, thoughts etc. with each other

But because of its power to connect people across the globe and spread information, ideas so efficiently and quickly to large number of people at a time, it has been adopted by businesses all over the world as a part of their marketing strategy to reach out to new customers and also maintain relationship with existing ones by keeping them updated.

Social media provides a huge variety of tech-enabled activities that can be performed on it. Some of those activities popularly known and used are sharing photos and videos, blogs, gaming, using it as a tool to increase social networks as well as business networks, experiencing virtual worlds, expressing opinions and much more. Social Media has come to the rescue even to the most powerful of all as in recent times many politicians and governments have been observed to use social media to engage with constituents and voters.

Social Media because of its versatility has gained huge popularity and it is estimated that today around the globe, there are more than 3 billion people who use social media.

As far as individuals go people generally use social media to keep in touch with friends and extended family. It is also used by a lot of people to expand their social circle, use it for networking and make connections with people who share the same interests as you. Some people also use it as an outlet, to share their thoughts, feelings, insight, and emotions with the whole world.

But in the case of businesses, social media has proved to be an indispensable tool. Companies have largely benefitted from it and they are making the most of it. Social Media has received immense popularity among businesses and they use it as a platform to locate and interact with customers, drive sales through promotion and advertising, gauging consumer trends, and offer customer support or service.

Social media assistance in helping businesses grow and expand is indisputable. Social Media has provided businesses a platform to communicate with their customers more quickly, it has allowed social interactions to take place via e-commerce sites, its capability to collect real time user data has helped enhance marketing strategies of companies and has made marketing research easier and a lot more reliable. Social Media also acts as an innovative and interactive platform which can be used to promote services and products by permitting the timely and targeted distribution of exclusive sales and coupons to would-be customers. Further, social media through programs like loyalty programs, lucky follower etc. can help in building customer relationships.

I. Social Media Marketing

Use of social media platforms to achieve marketing objectives like building awareness about the brand, connect with clients, generate sales, increase traffic to website etc is known as social media marketing. It involves uploading stimulating content, monitoring and interacting with followers, analysing results and improving reach and effectiveness of advertisements published on social media platforms.

Social media marketing initially began with publishing. Various brands and companies started posting content about themselves, their product etc in the hope to attract more traffic to their website which would lead more sales, But today, social media marketing has evolved hugely and moves way beyond just posting of content

Today, businesses use social media in a myriad of different ways. For instance , a business that is interested in knowing about what people are saying about its brand will focus on monitoring various conversations that have its mention on social media and try to modify any negative tone in conversations. Similarly, a business that is looking to measure its performance on social media will use tools that help it measure its reach, level of engagement and sales.

II. Five Pillars of Social Media Marketing

I. Strategy

The first step of social media marketing is deciding the strategy. Coming up with the social media marketing strategy involves answering 3 big questions.

What are the goals- It includes what the company aims to achieve through their marketing. It involves the objectives that the company has in mind and what to fulfil through this whole process. Some brands/companies use social media to improve brand awareness, some use it to increase traffic on their website. The goal could also be to interact more with the customers.

Which social media platform to focus on – Companies/ brands have an array of social media platforms like Youtube, Facebook, Instagram, Snapchat, TikTok that they can use for their social media campaign. It is extremely important for the brand to analyze which platform is most used by its target audience and accordingly use it to implement its social media campaign successfully.

What type of content to share – In today's age Content is the King , so without a doubt providing quality , interactive and innovative content is the way to achieve success through social media , marketing. Company's need to decide which kind of content – photo, video, blog etc would best work for its target audience.

II. Planning and Publishing

One of the golden rule of social media marketing is to be consistent, There are presently 3 billion people in total in the world who use social media platforms, therefore presence of brand of social media can vastly improve its brand awareness

Publishing simply refers to posting of content in the form of photos, videos, gifs, boomerangs, blogs etc on social and makes up for the easy part of this step

But to ensure that all the content posted on social media reaches a wide audience, generates engagement, and results in sales, it is absolutely essential to plan the timing, content, frequency of posts beforehand and keep on monitoring results and adjusting the plan accordingly.

The right post at the right time can work wonders for a company and it is usually this planning that helps companies create viral content that in return generates a long lasting buzz leading to increased sales.

III. Listening and Engagement

Social Media platforms also act as an open forum. It provides a platform where anyone can voice out their opinions about anything that they want to. As a business grows, the conversations about the business, its presence, its mentions on social media also grows along with it , hence to maintain its image it is necessary for brands/ companies to monitor all conversations that take place on social media involving it.

A brand can use both positive as well as negative comments to its advantage. It can use the positive comments as proof of its dedication to providing the best to its customers and can use the negative comment and spin it off as how much it values its customers and how their feedback matters to it.

Engagement is also a key to a brand being successful on social media. High engagement rate improves customer confidence and also attracts more people to a brand's social media accounts.

IV. Analytics and Reporting

Simply posting content on social media ,timing it right , engaging with the audience is not enough to get the maximum return on investment from a social media campaign. It is necessary to use tools which help us find an audience, measure performance of posts , increase reach of posts etc.

There are various tools like SEO, Big data etc that help us get the maximum ROI from a social media campaign by giving a clear picture of how the content is performing and what improvements can be made to it to enhance the virtual presence of any brand/ company.

Analytics also helps us understand patterns and behaviour of consumers on social media platforms which can be used to make social media campaigns of brands even more effective.

V. Designing of Advertisements

They are various forms of advertisements that a brand/ company can design as a part of its social media marketing. Brands use pop up advertisements, banner ads etc to increase their conversion level.

Advertisements are designed and placed in front of target audience using demographics like location, ages, interests, behaviour etc

Designing advertisements is another crucial step in the whole social media marketing process as advertisements given their level of attractiveness, innovation, and ability to grab attention, can increase the number of sales and lead to the growth of any business.

III. Social Media Marketing Strategy

Today's world of marketing industry is constantly changing which has given rise to multiple marketing strategies which can be used by companies. Brands and Companies are increasingly opting to use social media marketing for achieving its marketing objectives.

In order to be successful in achieving marketing objectives like – increased brand awareness, more traffic to website, engaging with customers, attracting new customer, increased sales etc, a brand/ company has to first decide what kind of strategy they will use for their social media marketing

But two broad categories of marketing strategy involving social media which a company can use for to meet its marketing objectives are:

- Organic Social Media Marketing
- Sponsored Social Media Marketing

I. Organic Social Media Marketing

Any kind of marketing done using various social media tools and platforms that are free of cost is known as organic social media marketing. It does not involve any kind of paid promotion.

The main purpose of using organic social media marketing is to create a social community, interact with customers and to keep the users updated and informed about the brand

Organic Marketing helps a brand to develop its voice, carry out authentic interactions with its customers. Organic Marketing tactics can be classified as natural, value based and authentic in nature.

In the beginning when social media platforms had just been discovered as platforms that could also be used for marketing apart from just being used to connect with friends and family, Organic social media marketing was the only strategy that existed. It helped many brands to build awareness, long lasting relationships with its customers. Many brands were also to build a loyal community that ardently waited for all updates / new launches of products or services by the brand.

Since social media is no longer used just as tool for engagement like it earlier used to be but now instead used as a tool for conversion and acquisition, organic marketing proves to inefficient and not a very effective tool for marketing

II. Sponsored Social Media Marketing

This form of marketing is also known as Paid social media marketing. Sponsored Social Media Marketing provides an opportunity to businesses to target, engage and covert users swiftly and consistently using new age tools and technologies like SEO, SEM, Pop up posts , banner advertisements etc.

Sponsored social media marketing is highly effective form of marketing as is done using tools that help track demographics like age, location, interest, behaviour etc and improve the reach and engagement levels of all posts

The main purpose for using paid social media advertisements is:

- To amplify audience
- Flexibility of budget
- Improved targeting of audience
- Boosting awareness of brand
- Enhancing content marketing
- Access to data points of mobile user which enhances targeting
- Get easy access to market insights and use it to better market the brand

As discussed earlier, since the era of using social media for acquisitions and conversions, sponsored social media advertising is the most effective method of enhancing a brand reach, converting leads as well as maintaining customer relations.

Hence, there is no shock in the fact that day by day, more and more brands are opting for sponsored social media advertising as their mode of marketing.

IV. Consumer Perception

Customer perception plays a crucial role in a brand's ability to not only be able to attract new customers but also to retain existing customers. But here the company has the advantage as it is the company that holds the power as it can control various factors that are involved in building an individual's perception of the company/brand.

The most accepted and widely used definition of customer perception is that it is a marketing concept that includes impression, awareness and/or consciousness about a company or its offerings by a customer. Therefore, customer perception is how the existing customers along with potential customers view the organization and what thoughts they have of the

company/brand. Customer perception has a direct impact on a company's success in attracting new customers and its ability to maintain healthy relationships with current customers.

I. Importance of Consumer Perception

Nowadays due to the digital age that we live in almost everything is easily available on the internet and is virtually only a Google search away. This makes a brand's products and services easier to locate, but the downside is that it increases competition as it is easier to find other brand's products and services too. This also gives more options to the public and makes its easier for unhappy or unsatisfied customers to leave and opt a different brand.

We need to understand that consumers' needs are not unidirectional. They don't just want good quality but along with that consumers also want good quality, but they also seek good value and this value does not begin and end with the product or service bought, but also involves the support of after sales services. The extent of availability, flexibility in customer service is also taken into account while measuring value.

With the increased level of awareness among consumers another change that we can see is that today consumers are not changing blindly after brands anymore. Just brand recognition is not what they seek anymore but they rather now want to use products and services of brands that they feel good about. They want to be associated with civic-minded corporations that exhibit positive world views.

II. Influencing factors of Customer Perception

Having the knowledge of factors that influences consumer perception and how impactful the factors are can give any company an edge. Having all this knowledge can help the company to use it to their advantage and secure its perceived identity.

Few of the factors that influence consumer perceptions include:

- **Advertising** – The content/ information put forward by the company has a direct impact on how people perceive its products and services. The tone and message delivered by a company has the ability to hugely influence the opinions of the audience.
- **Influencers** –An individual's social interactions and the people that he/she is surrounded with also play a huge role in influencing his/her perception about a company/brand. These interactions which can be both virtual and in person affect the opinions of an individual.
- **Personal experience –** One of the biggest factor that has an effect on consumer perception is personal experience. If someone has had a first hand experience of the quality of a product or service or the responsiveness and usefulness of a customer service channel, it will definitely have a positive or negative impact on their perception.

III. Creation of a Positive Customer Perception using Social Media

Companies have various tools that they use and design a positive experience for their customers and even when unforeseen events lead to creation of negative impressions, the successful organizations are able to contain the damage and rectify the situation speedily. They are able to often win back unhappy or unsatisfied customers.

In today's time social media is the most popular mode of communication between a brand and its users. It is also generally the mode where disgruntled customers voice out their bad experiences and has the ability to affect consumer perception of a large number of people, hence it is essential for companies/brands to utilize this platform effectively.

Using social channels effectively – Along with providing unique opportunities for communication with the audience, social media presents brands/ companies a fair share of challenges as well. Maximum of the social media channels track a company's responsiveness to customers and rate them accordingly. Social media also acts like a forum where customers can voice out their complaints. In addition it allows the vocal minority population of the audience to have the ability to hijack a brand's image and significantly impact its good name,brand reputation etc but this does not mean it is a hopeless situation when such a thing happens with a brand. There is still scope for a brand to change the tone of all the negative comments and derive a positive outcome out of it.

Steps like fast responses filled with knowledge and delivered with a tone of compassion can effectively turn tables and generate not only a favourable outcome but also enhance perception of the brand in the minds of the general audience also using the social media channels. Proactive responses to negative review posts and quickly rectifying the problem can prevent any negative influence social media can have on consumer perception.

In short, customer perception is not just another term in the world of business but it is a feeling or a fact which plays an immense role in the success of a company/brand. Beginning from the name of its products/ service to the after sale service, the entire company and all its operations and actions are involved in influencing perception and can contribute positively towards it.

To ensure a positive perception, customers not only need to be made to feel good about the brand/company and its service, but also need to be treated well and the brand should ensure that the products and services perform as promised. At the time of problems, managing customer expectations, communicating effectively and working hard towards resolving the issue and not forgetting to make the customer feel valued and respected at the same time can go a long way in ensuring a positive perceived notion of the brand . It is also smarter and cost efficient to create an environment that leads to positive customer perception from the very beginning of the customer journey than to fix a negative perception at the later stages

V. Big Data & Improvement in the Effectiveness of Advertising and Marketing

I. The Purpose of Advertising and Marketing

The main purpose of marketing and advertising is to educate, inform, and ultimately persuade consumers to buy a given service or product —but how do marketers and advertisers know how to get the message across and influence people to purchase said products and services?

It is by creating a message that resonates with their target customers. Defining a target market is important to begin with because different types of customers will respond to different types of content. For instance, one will probably need a different approach when they advertise a

skateboard line to teenagers, compared to a product campaign for a dishwasher. Different markets will respond to different things.

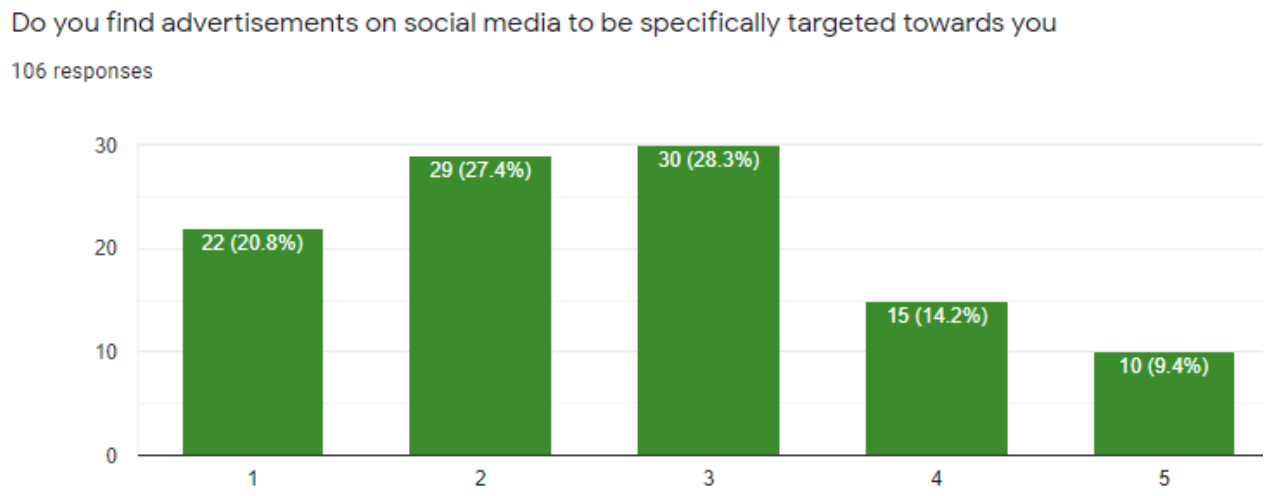

Fig.1 Social Media Advertisements Specifically Targeted

II. Big Data and Is Its Role

Smart marketers utilize information about their target market to fine tune the message and delivery of their campaigns: more data records typically reflects a more effective and powerful campaign. This is where "Big Data " comes into play.

Big data could be described as large amounts of information or data, which can assist marketers and advertisers, gain critical insights into their target demographics. Thus marketers can find out relevant details, such as interests, consumer habits, shopping patterns, and most importantly trends, simply to mention a few using Big Data Marketing Analysis. Thus it becomes easy to understand as to why big data is such a hot commodity nowadays. The basic idea is that such information can enhance the effectiveness of marketers and advertisers and thus contribute to the content that is more engaging and efficient.

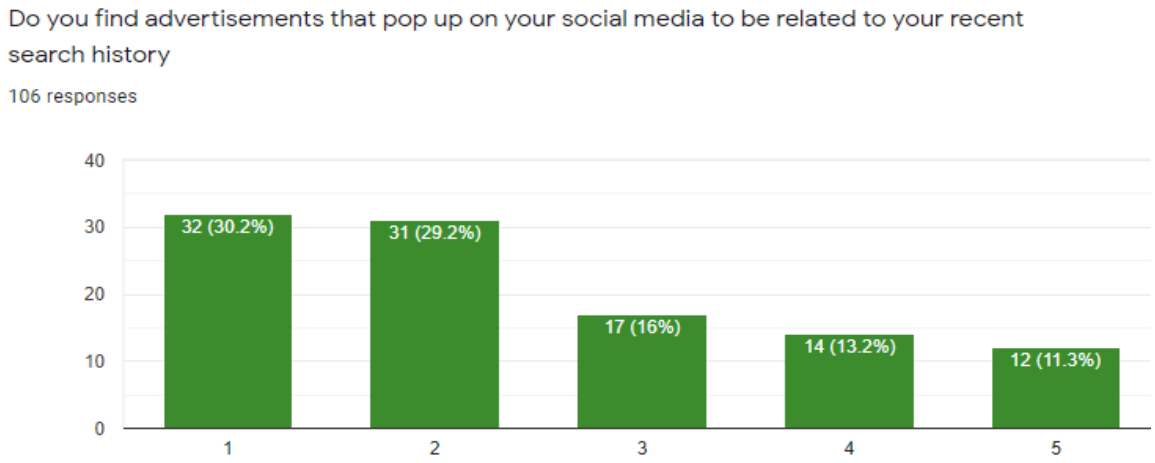

Fig.2 Advertisements Related To Recent Search History

Such information related to big data is often extracted in various ways. For instance, websites, businesses or other organizations gather information from their consumers and get to know their preferences through newsletter subscriptions, polls, credit card data and various other avenues.
The quantity of information is constantly growing because there are too many sources pouring it in. Besides those mentioned above, even internet of things devices, cameras, smartphones and aerial sensors can provide additional information that is continually added to the data sets.
In a day and age when many transactions are digitalized, and people aren't too concerned with putting a lot of data out there, big data volumes becomes massive, so much so that the handling, analysis, sharing and transfer of such information might require specialized platforms and networks.

Review Of Literature

Before focusing on social media and how companies can utilize different networking sites for promotion, advertising overall must be looked at as a jumping off point.
Not too long ago, marketers relied on very different media to reach consumers. Advertisements would be displayed on billboards, in newspapers and magazines, and through direct mail promotions. In order to effectively advertise and gain consumers, marketers needed to really learn about their target market and determine where they would be the most open to advertising. Over time, advertising has grown and developed as trends and consumer preferences have changed. The way that advertising was in the past is not as it is today. Much of this is due to technology and the creation of the Internet, but marketers have constantly been seeking new opportunities to promote their information to the markets.
Social networking sites have become an essential part of daily activities for millions of people. Staying connected with friends and family, no matter how far away they may be, at all hours of the day is a norm. Reliance on these connections has led people to utilize social media in other parts of their lives as well. Indeed, social networks have become a new avenue for all kinds of communication, especially in marketing information about goods and services. Marketers now rely on social media to get in tune with their customers and relay information to them about the latest products.
The world of online marketing has come a long way. From the start of the internet, to search ads and banner ads, now have native or sponsored advertising, an interesting and exciting new part of marketing. For purposes of this investigation, sponsored advertising is defined as "an ad unit that can only be bought and displayed on one platform, seamlessly fitting in with the unique format of that particular platform. Facebook's and Instagram's Sponsored Stories and Twitter's Promoted Tweets are prime examples" (Murphy & Schram, 2014). *This advertising is promotion from a company embedded into the format of a social network. The social sites allow companies to pay for a sponsored message to be displayed in the news feed of every user of the site. To date, the field of marketing has not done the research to determine whether this is an effective tool. This research study will work to close that gap and shed light on the same.*
In the research paper "Knowledge and Perception of social media Advertising" in 2018 by Israel O and Oguche; they try to explore the level of awareness of social media advertising focusing on

Facebook and Twitter, to find out the influence of social media advertisements on the buying behaviour and it explores effectiveness of boosting the effectiveness of social media advertisements. They found that the understanding of consumer's interaction with social media and how it could be exploited for advertising purposes is still limited and it may not be designed to meet their potential of satisfying the consumer and generating business value. Consumers have a new role with the advent of social media since they use it by themselves, hence appealing to them by being informative and persuasive instead of dwelling on entertainment and spamming that irritates users, as some social media advertisers believed as the way to attract attention. The data collected was restricted to the youth of Kogi State University, Anyinga.

In the research paper ''Consumer attitudes towards Instagram Advertisements In Egypt: The role of the perceived advertising value and personalization'' in 2019 by Hazem Rasheed Gaber Len Titu Wright and Kaouthern Kooli; it revolves around the fact that companies should provide certain characteristics in the advertisements on Instagram in order to generate a positive attitude from the consumers. There are different uses and gratification consumers aim to find in advertisements that they are exposed to on social networks. Here we see that consumer's perception of the credibility of Instagram advertisements, the lack of irritation of Instagram advertisements, informativeness of Instagram advertisements, entertainment of Instagram advertisements and personalisation of Instagram advertisements affects their attitudes towards advertisements positively and thus influences their attitude towards the brand. All the above stated factors are important in shaping the perception towards innovative forms of marketing. It can be effective in enhancing consumer's relationship with brands and most of the indicators have a good factor loading with reliability that exceeds. This article only examined consumers towards advertising in one country which is Egypt. The paper didn't focus on one industry where it examined the attitudes of consumers towards Instagram advertisements in general. It only focused on consumers' attitudes towards advertising in one social network which is Instagram which limits the generalizability of the findings on other social networks.

In the research paper "The Effects of Online Sponsored Advertising on Consumer Attitudes" in 2015 by Cassidy Maksy explores the ways in which marketers advertise brands in an online environment with special emphasis on the social network. It looks at the implementation of different techniques and credibility of sources to gauge the effectiveness of advertisements and evaluates a new form of advertising which is native advertising and determines how the consumers' attitude towards the advertisements and the brands that utilizes these ads are different from traditional advertisements. It tries to find out the consumer's point of view on the credibility of the source of information, the purchase intention after being exposed to advertisements on social media, the positivity towards such advertisements and the perceived selling intent will be higher for those consumers exposed to banner advertisements as compared to online ads. It finds out that native advertising is effective with consumers and that it elicited higher purchase intention. And that the main effect stating that the type of media was a determining factor in whether or not the ad was trusted. Regarding attitudes towards the ad were inconclusive, but banner ads were seen as a more necessary marketing tactic than native

advertisements for both media types and both advertisement types the participants felt that the attempt to sell was roughly in the middle or neutral zone. 81% of participants reported ignoring ads, while 19% reported reading or following up on information from the ad. Only 17% of participants reported that they felt ads in their news feed were “invasive” or “very invasive”.

In “Predicting user response to sponsored advertising on social media via the technology acceptance model” in 2016 by Carolyn A. Lin and Tonghoon Kim assesses the effects of the user perceptions of piracy risk, intrusiveness concerns and utilities of sponsored advertising on consumer attitudes and purchase intent. It explores the relationship between perceived usefulness, ease of use, attitudes and purchase intentions. This exploratory study did not measure consumer response to specific product categories or brands; hence the potential variances for purchase intentions associated with different product brands were not tapped. Showing sponsored ads that represent examples of actual miscellaneous or pricy products to participants e for a closer evaluation of this advertising platform e could solicit a real-time instead of a recall response to enhance measurement reliability.

In “The Impact of Social Media on Consumers’ Acculturation and Purchase Intentions” in 2017 by Hatice Kizgin , Ahmad Jamal , Bidit Lal Dey and Nripendra P. Rana explores the role of social media as an agent of culture change in terms of how it impacts acculturation and consumption. The paper discusses implications for theory development and for practice. It tries to see different factors that affect the buying behaviour of consumers such as separation in language preference, assimilation of the host culture’s language and integration in an immigrant’s language preference on social media. This research finds that a majority of respondents’ language preferences on social media play an important role in acculturation outcomes. The relationship between the online communication channels investigated in this study and maintenance of the heritage culture is significant and positive. This finding is in line with previous findings in acculturation research that language in traditional social networks and conventional media is a critical force in enculturation; the use of Spanish social media sites reinforces Hispanics’ identification with their heritage culture. In short, immigrants in the separation category place value on maintaining their heritage cultures. The preference for using an assimilation language on social media has a strong positive effect on acculturation. The preference for using an assimilation language on social media is negatively linked to enculturation, which is in line with the argument of previous acculturation research that immigrants in the assimilation category are less likely than those in other categories to prefer ethnic cultural engagement. The variance explained by the model in purchase intentions is only 28%. It does not incorporate some additional constructs like attitude thus it can be improved. It also does not include the strength of social ties as a moderating variable. This research focuses on purchase intentions rather than actual behaviour.

In “A Study on the Influences of Advertisement on Consumer Buying Behavior” in 2017 by Tashrifa Haider and Shadman Shakih In the paper authors have introduced a combination of different variables and attempted to examine their influence on consumer behaviour. The paper aims to determine which of these variables carries the most importance in terms of effecting

consumer behaviour and which of these variables carries less significant impact and to help marketers to focus on the right factors and achieve maximum benefit from their advertisement. It explores the effects of advertisement and the factors of advertisement that influences the consumer buying behaviour. This study shows that there is a positive impact of all the variables on consumer buying behaviour. Among the four independent variables however Familiarity and Entertainment have the most significant impact 'Advisement Spending' comes in third in terms of significance. The sample size could have been more desirable had they got hold of people from a diversified age group especially, the older age group of above 60 years. This research could have included a more diversified range of variables to analyse the same topic from a different perspective.

In "The Effect of Using Pay Per Click Advertisement on Online Advertisement Effectiveness and Attracting Customers in E-marketing Companies in Jordan" in 2015 by Hamza Salim Khraim and Ala' Atef Alkarablieh; the paper explores to gain insight into the use one dimension of search engine marketing (SEM) on attracting customers and online advertisement effectiveness in E-marketing companies in Jordan by explaining the effect of using PPC advertisement on attracting customers and online advertisement in companies using E-marketing in Jordan. This research will propose the hypotheses that there is a statistical significant effect of Pay-per-click advertisement on online advertising effectiveness in E-marketing companies in Jordan at ($\alpha \leq 0.05$) significance level. And that there is a statistically significant effect of Pay-per-click advertisement on online advertising effectiveness in E-marketing companies in Jordan at ($\alpha \leq 0.05$) significance level. Results show that there is a statistical significant effect of using pay-per-click advertisement on attracting customers online at the significance level ($\alpha \leq 0.05$) in companies that use E-marketing in the Jordan, which means that this usage contributes to the attraction more visitors and increase traffic on the website for the company. There is a statistically significant effect of using pay-per-click advertising on the online ads effectiveness at the significance level ($\alpha \leq 0.05$) in companies that use E-marketing in Jordan which means that they contribute to the promotion of products and services better for the company via the Internet and thus will lead to increased profits and return on investment ROI descriptive results show that the use of pay-per-click advertisement have contributed in raising the level of the company's brand as well as the ability of targeting particular geographical area, and also contributed in increasing the number of the Keywords of the company web site. The thing to look out for here is that there are a limited number of E-marketing companies that use PPC in Jordan.

Need For the Study

The power of social media marketing is underestimated. Social Media as we all know holds power to persuade audiences to influence their mind. Viral content on social media has the power to affect a brand drastically and can improve its profit margin hugely. Hence it is no surprise in knowing that brands/ companies are investing more energy, resources as well as money on social media marketing. With more money being invested towards social media marketing by companies – a new concept called Sponsored Social Media Marketing has emerged as a result. Sponsored social media marketing is when companies pay social social media platforms for their

advertisement to be showed to their target audience .According to various surveys taken around the globe, it is believed that as on 2019 there are almost 3 billion users on social media which was a 17% growth from 2018 and every day a million new users join social media platforms. The amount of time spent on social media platforms is also more than time people spend watching tv. The revenue generated through social media has also grown in the last few years and was forecasted as around $51 billion for 2019. Therefore it comes as no surprise that social media marketing is the goto marketing choice for most of the brands and companies.

Just like marketing, consumer perception is very important and in the extremely competitive world that we live in, its importance has grown ten fold. Consumer perception too, like social media marketing holds the power to have a huge effect on any business .

So through this research paper, we aim to find out what kind of effect this recent development in the marketing world – sponsored social media marketing has had on consumer perception and how companies can use it to their advantage.

Research Methodology

I. Data Collection

For the purpose of the study, primary data was collected using the questionnaire method. The data collected through the questionnaire was quantitative in nature. Even though there is availability of secondary data from previously undertaken studies about this topic, the researchers relied on collecting data first hand to ensure that there are no discrepancies in data. Also to ensure reliability and credibility of the study, a primary source of collecting data was chosen.

- The nature of study was exploratory quantitative so as to be able to identify, analyse and express the extent of impact sponsored social media advertisements have in influencing consumer perception
- The nature of study was taken to be exploratory as it is the most appropriate and is complimentary with our objective of gaining knowledge and enhance our understanding of how sponsored social media ads can play a role in influencing consumer perception
- A carefully designed questionnaire was used to collect the required data. The questionnaire was created in such a way that it would be easy to understand and relevant data could be collected from the respondents. The views of respondents were captured by using the 5 point Likert scale.
- The questionnaire was designed in such a way that it covered all aspects of the study
- The method adopted for collection of data was a random sampling method. Due to constraints of time, budget and other factors, a random sampling method was chosen.

II. Sampling Technique

- The sampling technique Convenience Sampling was opted.
- This technique seemed to be the best suited technique for the research and that helped to gather data promptly.

- This technique is used so that the required data could be collected easily and quickly without any delays.

III. Survey Location

We mainly approached students from our own college to fill out the survey because of easily availability of respondents hence maximum of the surveys have been filled by the students of SCMS, Noida while to get a broader view on our set objective a few forms have been filled by students from different colleges across Delhi and family friends who use social media and we thought could contribute to our research.

IV. Sample Size

We have a sample size of 106 respondents. The group that was sampled was selected randomly. The responses of the sample size was collected through a questionnaire

V. Respondents by Age

- According to age distribution, it saw majority of responses coming from two demographics
- Students of the college Symbiosis Centre for Management Studies aged between 18-21 and accounted for 39.3% were one of the major response respondents of the study.
- The other major segment of respondents with 48.6% contribution belonged to the age group of 32 and above as we wanted our study to not only represent the opinions of millennials but capture a wider audience.
- 12.3% of the respondents belonged to the age group of 21-25

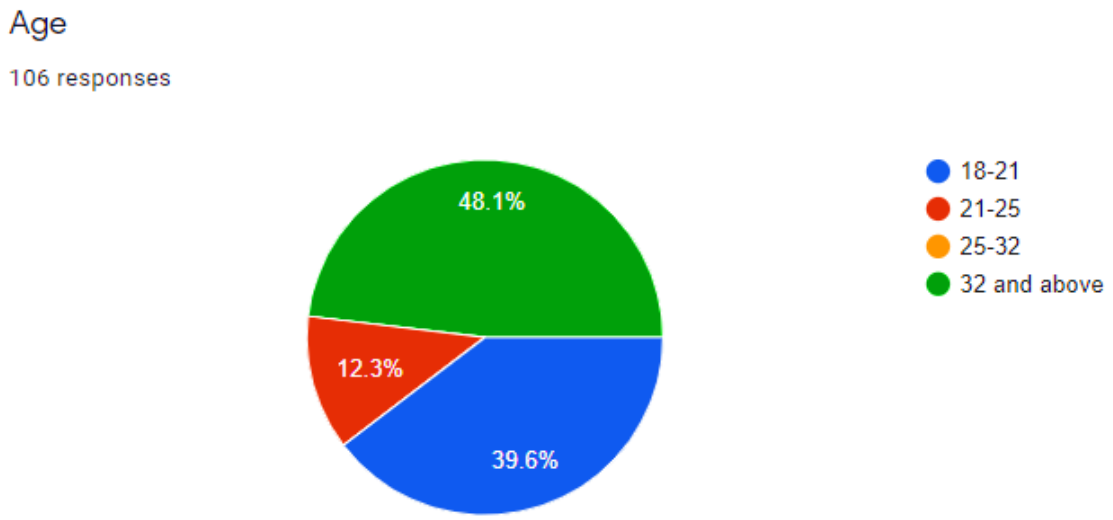

Fig.3 Respondents by Age

VI. Respondents by Gender

In the case of Gender Demography, the sample saw a huge disparity between the two genders with male respondents exceeding the female respondents by a huge margin. Male respondents accounted for 74.5% while there were only 25.5% female respondents.

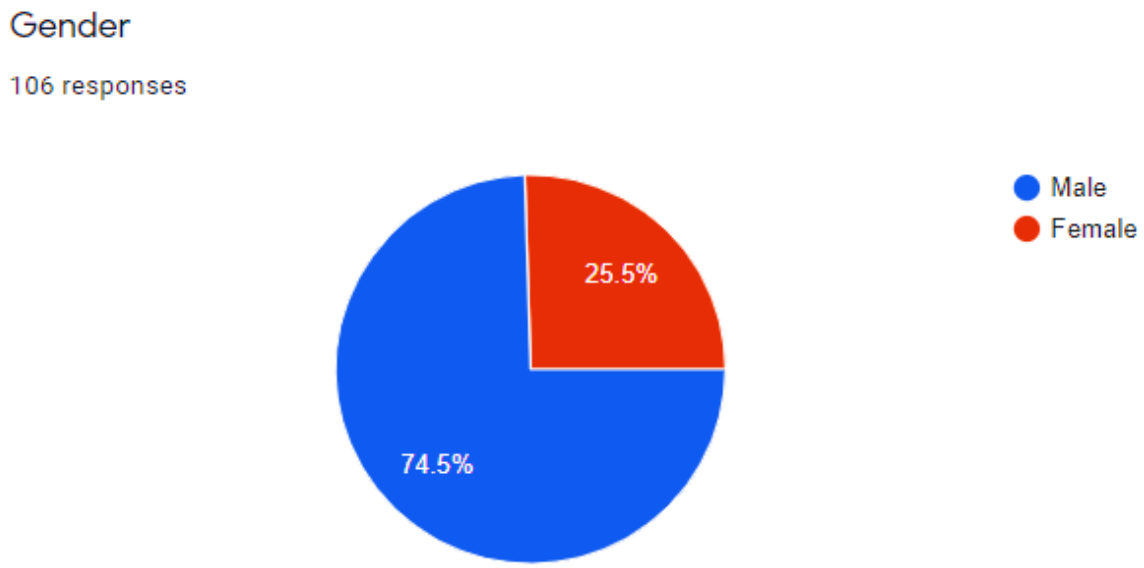

Fig.4 Respondents by Gender

VII. Statistical Method Used

We have used Regression in our project. Our project deals with two variables which are

- *Independent Variable - Sponsored Social Media Advertisements*
- *Dependent Variable- Influence on Consumer Perception*

Through this project we aimed at knowing if there is any relationship between the two variables. We used regression as it helps to establish a cause and effect relationship between two variables. Use of regression in the project helped us analyze the effectiveness of sponsored social media advertisements in influencing consumer perception.

Objective and Hypothesis Formulation

After using the current literature and research as a foundation for understanding the different brand relations and marketing campaigns that happen on social media. This research study will work to expand and create new conclusions. This literature will continue by examining the consumer's perception about sponsored advertisements on social media platforms and will explore how it affects their buying behaviour to some extent. Some emphasis will be placed on whether the advertisements are deceptive and potentially creating negative brand perceptions by the consumers. Overall the literature review will be relevant to the research questions and work to create a starting point for the primary data that will then be collected. All of the blogs, publications and articles examined will be complemented by the discussion and results that will arise after primary research is conducted and new data is compiled.

I. Objectives of the Study

The objective of the study defines as to why the study is being done that is basically describing its major purpose. The major objective of the entire research paper is:

- *To find out the effectiveness of sponsored social media advertisements in influencing consumer perception*

II. Hypothesis Formulation

After examining the literature that has been compiled in the relevant areas surrounding sponsored advertising the following hypotheses can be made:

> ***H_0:*** *Sponsored Advertisements do not have an effective impact on consumer's perception about the brand and the sponsored advertisements.*
>
> ***H_1:*** *Sponsored Advertisements have an effective impact on consumer's perception about the brand and the sponsored advertisements.*

The hypotheses will be tested and the results will enhance the knowledge that surrounds this topic by introducing new ideas and new connections to past literature. The objective is that this research will fill in the gaps that currently exist for sponsored advertising literature. The findings shall shed light on the actual effectiveness and future implications of this marketing tool.

Result and Analysis

There were several significant findings at the conclusion of this research. After statistical analysis of the data, there was consideration as to whether or not the initial hypothesis is supported. Regression is used to establish the relation between the independent variable that is questions relating to the sponsored advertisements on social media and the dependent variable which is consumer's perception about the sponsored advertisements. The data was collected in scalar ratio form to enable this type of findings. After analysing the hypothesis, following are the results and the interpretation and analysis of the same.

H:Sponsored Advertisements have an effective impact on consumer's perception about the brand and the sponsored advertisements.

SUMMARY OUTPUT

Regression Statistics	
Multiple R	0.60258367
R Square	**0.36310708**
Adjusted R Square	0.35698311
Standard Error	0.805803203
Observations	106

ANOVA

	df	*SS*	*MS*	*F*	***Significance F***
Regression	1	38.49990113	38.49990113	59.2927557	**8.26E-12**
Residual	104	67.52915547	0.649318803		
Total	105	106.0290566			

	Coefficients	*Standard Error*	*t Stat*	*P-value*	*Lower 95%*	*Upper 95%*	*Lower 95.0%*	*Upper 95.0%*
Intercept	1.370225857	0.257877485	5.313476117	6.16232E-07	0.858845127	1.881606586	0.858845127	1.881606586
INDEPENDENT VARIABLE	0.725076136	0.094163544	7.700178939	8.25847E-12	0.538346295	0.911805977	0.538346295	0.911805977

Fig.5 Output of Hypothesis

Hypothesis is the effectiveness of sponsored advertisements on social media advertisements in influencing consumer's perception about the same which was entirely supported. There was significance in the main effect of sponsored advertisements in effecting consumer's perception about sponsored advertisements.

R Square is 0.363107079938597 which means that approximately 36% of variation in effectiveness of sponsored advertisements affects the consumer's perception. Also this model is significant as in the Anova table Significance F is less than 0.05. As Significance F = 8.25847255189522E-12< 0.05. This implies that the independent variable of sponsored advertisements does have an effect on the dependent variable values which is the consumer's perception about the sponsored advertisements.

Now since Significance F is less than 0.05. Therefore an alternative hypothesis is accepted and the null hypothesis is rejected. This states that sponsored advertisements on social media do have an impact on consumer's perception about the same.

To see as if any of the variables is actually significant one need to see the p-value. From this we see that the p-value for mean I which is the mean of all questions related to sponsored advertisements is 8.25847255189522E-12 which is the same as significant f value. Thus it is seen that it is the most significant predictor to find people's perception regarding sponsored advertisements on social media.

Discussion

Is sponsored advertising an effective tool for marketers to be using moving forward? That was the overarching question being researched in this project. After sifting through the literature in this area of study and doing careful analysis of the data results, the findings have shed light on this issue. When all of the pieces are factored in together, sponsored advertisements are an effective type of advertisement and they will see positive responses from consumers.

The idea of effectiveness is touched upon in the research of Novak and Hoffman (1997). They state that effectiveness is measured by how many times an exposure is required before user action takes place. This was expanded upon in this research as more than simply purchase intention and likeliness to try the product was examined.

It became clear that effectiveness is not only demonstrated through future action such as a consumer purchase, but also by the ways that the consumer reacted to the advertisements and the ways that they viewed it. Credibility, believability, trust, and advertisements or brand attitudes all factor into whether a consumer will make a future purchase and thus influence effectiveness.

This research focused on a range of variables in order to get a generalized sense of sponsored advertisements. First, the variables regarding source credibility: believability and trust must be examined. Sponsored advertisements were viewed as more trustworthy and more credible by the sample. Additionally, sponsored advertisements were also identified as being a believable and a credible source on social media sites. Since social media was found to be a more credible and trustworthy source which proves that it is a good choice for ad location. Rather than staying on to the earlier ways of advertising, marketers should feel comfortable moving to social media

platforms and begin to look for suitable websites as well. Altogether, these items prove that this type of advertisement can be effective and they can be viewed as a credible source.

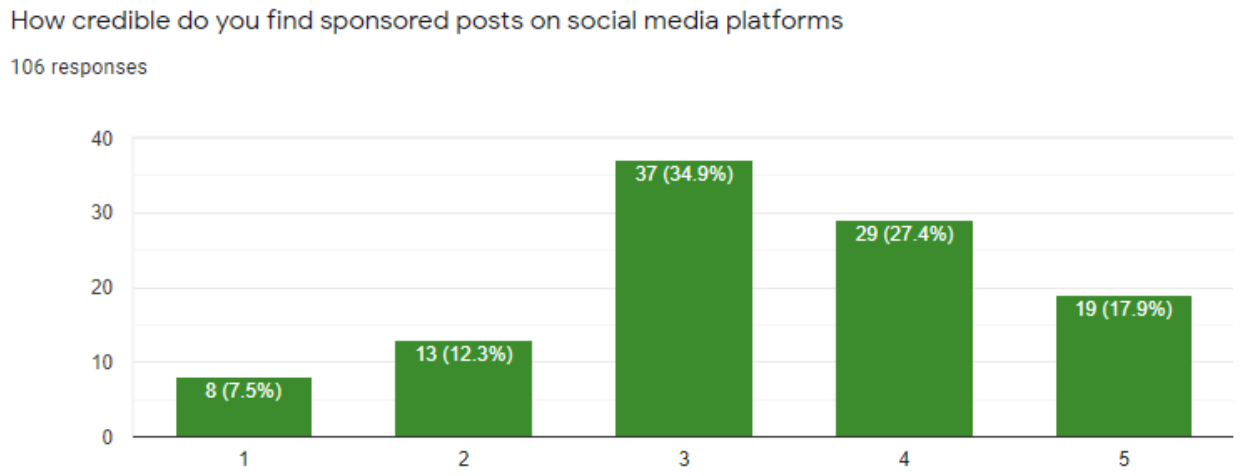

Fig.6 Credibility Of Sponsored Posts On Social Media Platforms

The next step is to look at consumer attitudes in response to the advertisements. Advertisements on social media were ultimately seen to generate more positive attitudes towards the brand. Results show that participants reacted with positive feelings—good and favorable—after being exposed to sponsored advertisements. This is promising for both sponsored advertisements and for social media platforms.

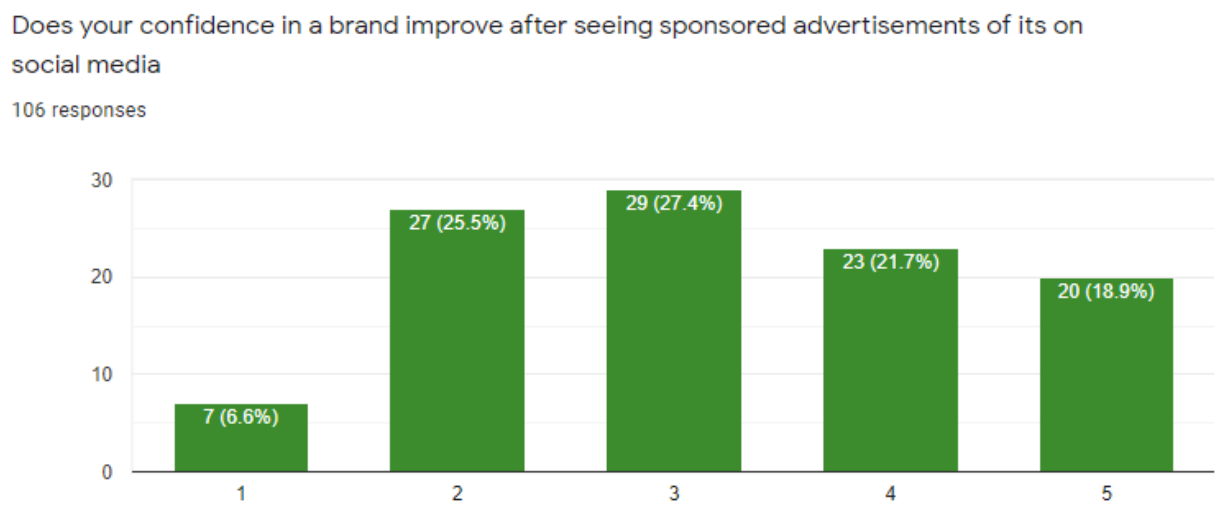

Fig.7 Improvement of the Confidence in the Brand on Seeing its Social Media Advertisements

It is possible that consumers have the knowledge of these advertisements, thus the ability to ignore or avoid them when uninterested. Sponsored advertisements being a new format are seen as less necessary likely because people do not want a new type of advertisements popping up in their life. They are already overexposed to marketing every day and another format does not seem needed.

Finally, advertising effectiveness can finally be looked at from the angle of purchase intention. While the hope was that sponsored advertisements would be the greater cause of purchase, there is some sense behind this finding. Especially online, websites and marketers are able to find a target market for a product based on a consumer's online behavior. It is often the case that advertisements seen on social media sites reflect some of the products or brands related to items that a person has been recently searching for online. Sponsored advertisements participants indicated likelihood for future purchase after exposure to Sponsored advertisements so there is still promise that their effectiveness will increase over time.

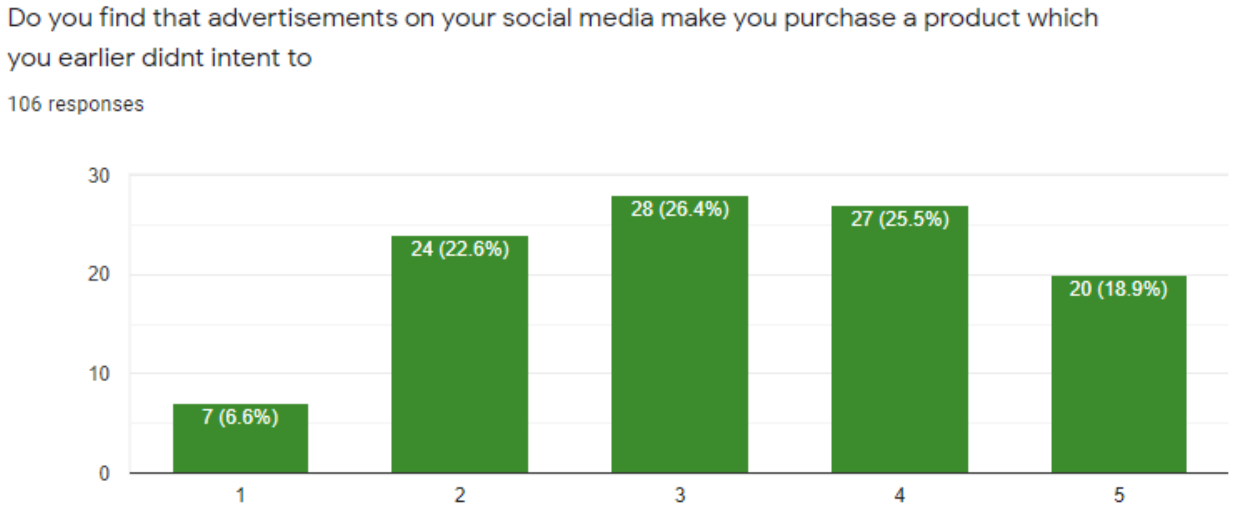

Fig.8 Advertisements Results in Purchase

In general, online ads are still effective at this. This reflects the Pareto 80-20 rule that states "in general, 20% of your customers represent 80% of your sales" (Lavinsky, 2014). If marketers can tap into this 20% who are engaging with the online content and learn about who they are and why they are focusing on the advertisements, this could seriously enhance online advertisements. While there is still 80% that are ignoring ads, the 20% could be crucial to a company and marketers need to examine this further. In addition, sponsored advertisements can be effective in different situations so marketers need to test these advertisements on their specific markets before implementing it into the promotional mix. Research could also be done on whether or not a Sponsored advertisement should be created in addition to a strong advertising campaign that is implemented through other media already.

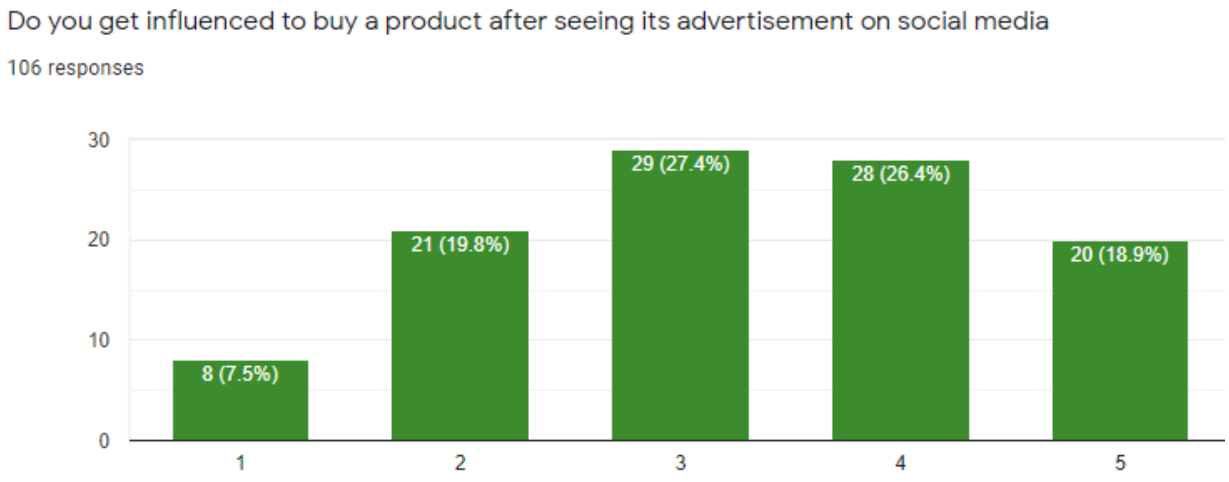

Fig.9 Influenced To buy A product After Seeing Advertisement

One final point of discussion is to identify the best possible location for an online advertisement. It has become clear that advertisements can be created in the sponsored format, yet what social media site will work best is also a factor. Consumers may be more accepting of online ads in a new location because the exposure is not too intense at this point. This is definitely something that marketers should consider when placing their online advertisements.

Limitations

It is important to note the limitations and assumptions made in this research. So as to further expand on this study these limitations or constraints faced could be reduced for a better understanding.

The sample is the first area to consider. As in the sample that we collected through survey about 75% were males thus this research is biased towards male respondents and thus does not provide a clear picture as female respondents only make up about 25% of sample. This research focused almost strictly on college students and people above 32 years, as the responses that we got were majority belonging to these groups. The two groups vary vastly in age and thus also in their usage and understanding of technology, which was good for this initial research as it provided a different outlook on how they perceive advertisements. But the age group of 32 and above had not been to be segregated further which provides us with a vague idea but not a detailed one. Thus, it is necessary to expand upon this for the future. Additionally, it fell to the snowball effect and was more of a convenience sample than a randomly distributed group. This was caused due to the researchers' ability to reach beyond the campus of Symbiosis and those within one's family network. Future research should work to eliminate biases by creating a random sample that surveys a wider demographic.

In addition to the sample limitation, some elements of the survey itself could have been limiting to the results. Participants that were given the survey were questioned on whether or not they were aware and could recall the advertisements that they were exposed to. Those that said yes proceeded on to further questions regarding the advertisements, while those that said no were

directed straight to more generalized questions. This then limited the research so that those who were not aware of the advertisements did not indicate their responses to the advertisements. Since native or sponsored advertisements are supposed to be subtle and less intrusive to their audience, if people are not aware of them it is still the hope of marketers that future action will be taken.

It was initially assumed that if participants were unaware, then they would not be significantly affected which could be incorrect. Additional research in this area should work to determine whether those people unaware of the sponsored or native advertisements were exposed to be affected by it in any way in order to continue testing effectiveness.

Finally, the advertisements themselves could have limited or biased the results in some way. The advertisements themselves are very subtle to catch thus the consumer sometimes may not even realize that those were advertisements. And thus would not have been able to answer the survey in which it was intended to be filled. One final idea could be to utilize an actual product or a company with which people are already familiar. This could bias the results, or could indicate a greater effectiveness because it is more relatable.

Conclusion

After considering all of the literature, conducting extensive research and analysing the abundance of data, this research study does prove that there is a relation between the effectiveness of sponsored advertisements on social-media platforms in influencing consumer's perception towards the same. There is need for more research as was discussed throughout the results and the limitations, but this is a starting point of greater knowledge in this area of marketing.

Sponsored Advertisements are likely to continue growing and developing throughout different markets and platforms as a way to use a subtle technique to break away from markets with high advertisement saturation. Marketers will need to work on developing trustworthy, bold and creative Sponsored Advertisements in order to really be successful with consumers in the exciting world of social media.

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